REC Ltd

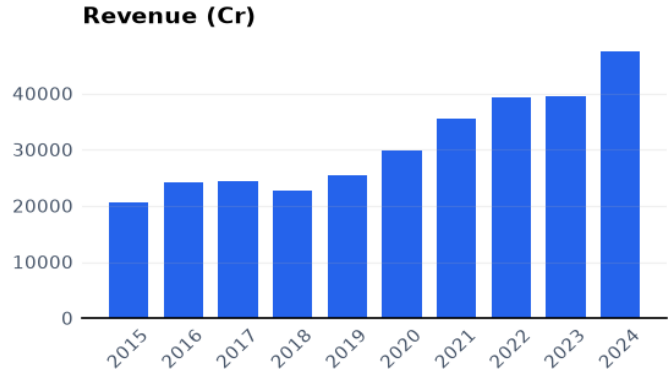
RECLTD

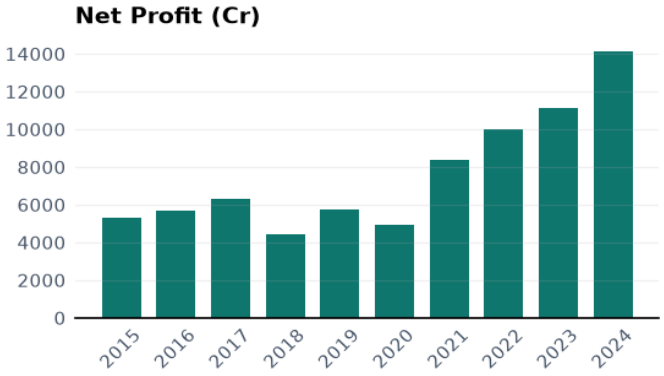
Financials

Company Tearsheet

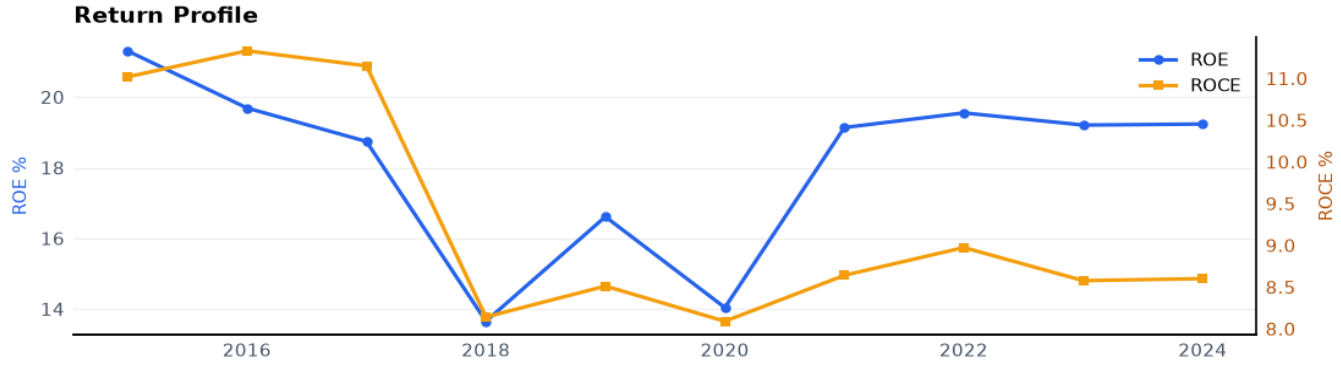
13.3% Revenue CAGR (5Y)	**19.8%** PAT CAGR (5Y)	**19.2%** ROE
8.6% ROCE	**6.58x** Debt / Equity	**-3.86x** CFO Quality

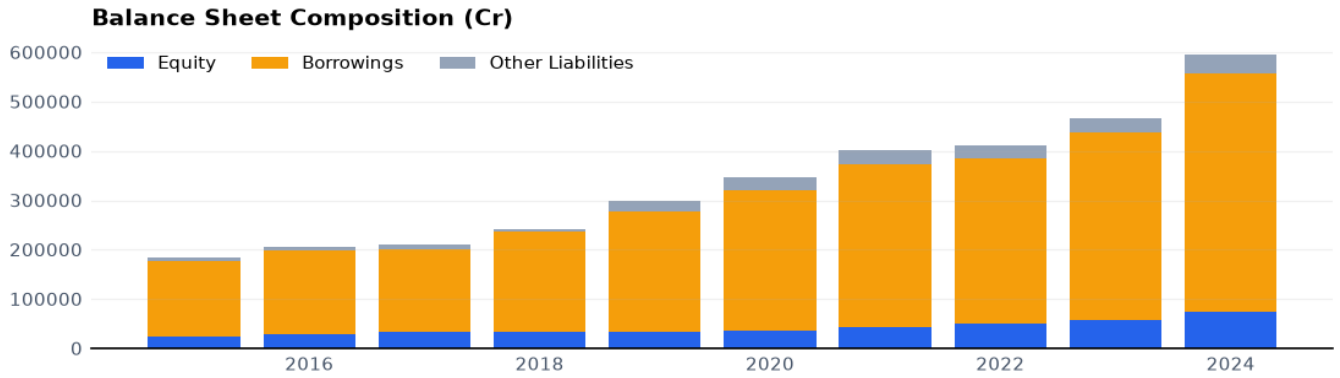
10-Year Financial Performance

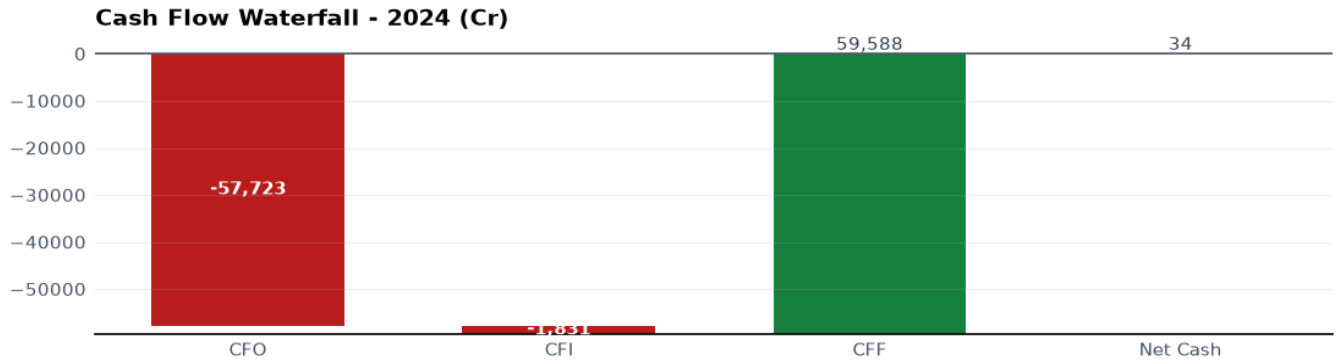




Returns and Capital Efficiency







PROS

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

CONS

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION

Growth Funded by Debt